

than two months. Our resourceful barber may not realize it, but what he's doing is in effect playing the arbitrage game.

The arbitrage he has is that there is a 17-mile “spread” between him and his closest competitor. As long as that spread remains in place and Town C continues to grow, he sees a steady increase in revenues—even if he charges higher prices or delivers slightly inferior service.

Over time, like all arbitrage spreads, this spread narrows and then disappears. More barbers open shops like his, and eventually Town C has the same number of barbers per capita as Town A or Town B. However, it could easily take several years before the spread disappears. In the meanwhile, our barber has raked in supernormal profits and built a loyal following. He may have to drop his prices to market price and competition will force him to up the ante to market-level service. However, he has now built brand and has a satisfied client base that is unlikely to take the low bid with their monthly haircut; they are likely to keep returning to him. Even though the arbitrage spread is gone and supernormal profits are gone, the brand and loyal following gives him sustaining profits for many, many years ahead. His business now looks just like his former employer's business in Town B. The barber's return on his original invested capital is off the charts—not too different from our five Dhandho entrepreneurs. And he, too, placed a near risk-free, arbitrage-type bet.

Papa Patel's and Manilal's arbitrage game is simple. The moment they take over a motel, operating costs drop. With the low-cost structure, they offer a very competitive average nightly rate that leads to higher occupancy. That lower-cost higher occupancy gives them an arbitrage spread over all their competitors—until another fellow Patel shows up to compete with them. It might take 15 to 20 years before a fellow Patel shows up.

The stereotypical Patel is not a stupid guy. He's going to see this motel is under Patel ownership, and he'll decide quickly not go into direct competition with a fellow Patel. So that arbitrage will last for some time. Nonetheless, eventually that spread is going to disappear. In the meanwhile, and that can be several decades, Papa Patel and Manilal milk that arbitrage spread for all they can.